

25STCV18416 25STCV18416

County: los-angeles

Division: Civil Law and Motion

Department: 414

Hearing date: 2026-08-04

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Case Number: 25STCV18416 Hearing Date: August 4, 2026 Dept: 414

25STCV18416 Alfa Prosmarttech PTE, LTD, et al. v.

Izrailbekova, et al.

Tuesday,

August 4, 2026

[TENTATIVE] ORDER SUSTAINING DEMURRER OF DEFENDANT, NIGINA IZRAILBEKOVA,
TO PLAINTIFFS' SECOND AMENDED COMPLAINT IN PART AND OVERRULING IN PART (0219)

I.

BACKGROUND

The

second amended complaint ("SAC") seeks recovery of more than \$9 million dollars in funds allegedly stolen by Nigina Izrailbekova ("Defendant"), from the five corporate entities ("Plaintiffs") she was employed to serve. Plaintiffs allege seven causes of action for breach of contract, misrepresentation, conversion, and other claims arising from these alleged facts.

Defendant

demurs to all seven causes of action.

II. LEGAL STANDARDS

A demurrer tests the sufficiency of a

complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the

complaint's sufficiency, the court must assume the truth of the properly

pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ. Proc., § 430.10(e); Zelig v. County of Los Angeles (2002) 27 Cal.4th 1112, 1126.)

Sufficient facts are the essential facts of the case stated "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

A demurrer may be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing, vague, or ambiguous that they do not sufficiently apprise a defendant of the issues it is being asked to meet. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

III. DISCUSSION

A. Joinder

Plaintiffs raise the issue of joinder in opposition to Defendant's argument that the pleading combines claims of five different Plaintiffs and transactions which renders the pleading defective. Defendant does not demurrer on grounds of misjoinder of parties. Defendant's reply clarifies that it does not dispute that joinder is permissible by statute. (Reply 3:20-21.) Rather it is the purported uncertainty that results from the collective pleading combining different transactions for each Plaintiff and different damage and for different time periods. Each cause of action is analyzed from that perspective and not against principles of joinder.

B.

Capacity

to sue and standing. Sustained.

Defendant takes issue with the following allegation:

“To the extent any Plaintiff is

deemed

to transact intrastate business in California within the meaning of California Corporations Code §§ 191 and 2105, such Plaintiff has complied, or will comply, with all requirements of Corporations Code § 2203 to maintain this action.” (SAC ¶ 17.)

Defendant argues this allegation raises

the issue that some or all of the Plaintiffs may not be qualified to maintain this action until they comply with all requirements under the Corporations Code. Foreign corporations cannot engage in intrastate business in the State of California unless they “hold a valid certificate from the Secretary of State.” (Corp. Code, § 2203.)

Section 2203 also states that foreign

corporations doing unauthorized business in California “shall not maintain any action or proceeding upon any intrastate business so transacted in any court of this state, ... until it has complied with the provisions thereof and has paid to the Secretary of State a penalty of two hundred fifty dollars (\$250) in addition to the fees due for filing the statement and designation required by Section 2105 and has filed with the clerk of the court in which the action is pending receipts showing the payment of the fees and penalty and all franchise taxes and any other taxes on business or property in this state that should have been paid for the period during which it transacted intrastate business.” (Corp. Code, § 2203 (c).)

Plaintiffs argue that having a bank

account in California is not “transacting interstate business.” However, the pleading alleges that Plaintiffs hired Defendant to serve as director of Plaintiffs’ U.S. operations, allowing an inference of intrastate business. (SAC ¶ 48.) Defendant was given significant responsibility and authority over their respective U.S. based financial affairs. (SAC ¶ 20.)

Defendant observes in reply that only some

of the five Plaintiffs have been qualified to transact business by the California Secretary of State. The court grants Plaintiffs’ request for judicial notice of

Secretary of State records, showing that Plaintiff Technopike PTE, Ltd.; and Prime Tech Solutions EOOD, LLC; are qualified to transact intrastate business

in California. (RJN Ex. 1-2.) The remaining certificates are from the State of New York and do not clearly show that they are authorized to transact business in the State of California.

Plaintiffs need not qualify in order to

commence an action. Section 2203 requires compliance to maintain an action. A foreign corporation transacting intrastate business which has failed to qualify with the Secretary of State may also commence an action in state court.

(Ward Land etc. Co. v. Mapes (1905) 147 Cal. 747, 753, 82 P. 426.) "A

foreign corporation transacting intrastate business which has failed to qualify may not, however, maintain an action commenced prior to qualification,

except upon the satisfaction of certain conditions." (United Medical Management Ltd. v. Gatto (1996) 49 Cal.App.4th 1732, 1739.)

Defendant properly raises the issue upon

demurrer based on lack of capacity. It is a matter of abatement of the action. (Id.

at 1740 ["Ordinarily, the matter should be stayed to permit the foreign

corporation to comply. If the foreign corporation plaintiff complies with section 2203, subdivision (c), by qualifying and paying fees, penalties and taxes, it may maintain the action. If the foreign corporation fails to comply, the matter should be dismissed without prejudice."] .)

C.

Breach

of contract. Overruled.

The elements of a claim for breach of contract are:

"(1) the existence of the

contract, (2) plaintiff's performance or excuse for nonperformance, (3)

defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) As Defendant acknowledges, where the

contract is oral, the complaint must allege the substance of its terms with sufficient certainty to show a binding agreement and permit a responsive pleading. (Dem 6:12-13.)

Plaintiffs have met this standard.

Notwithstanding that five Plaintiffs collectively allege the same claims, the terms of the alleged employment contracts are not complex or uncertain. Plaintiffs

separately engaged Defendant to serve as director of Plaintiffs' United States Operations. (SAC ¶ 20.) The employment agreements were oral in nature. (SAC ¶ 48.) Each employment agreement was "substantially similar" and required Defendant to "(a) faithfully, honestly, and competently manage the respective Plaintiff's U.S. based financial affairs, including its corporate bank accounts; (b) act at all times in the best interests of the Plaintiff she was serving and exercise a high degree of care, loyalty, and good faith, (c) provide each Plaintiff with full, complete, and accurate access to its own financial records, including bank statements, upon request and as a matter of course; (d) refrain from making any withdrawals, transfers, or payments from a Plaintiff's accounts without that Plaintiff's consent and authorization, and to safeguard the assets and property that each Plaintiff entrusted Defendant to control." (SAC ¶ 49.)

Defendant's breach began in October 2023 and consisted of systematically misappropriating funds Plaintiffs' funds. (SAC ¶ 51.)

To the extent Defendant requires more specifics to render the claim more certain, that is an issue better left to discovery. Demurrers for uncertainty are disfavored and are strictly construed, even where a complaint is in some respects uncertain, "because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616; Chen v. Berenjian (2019) 33 Cal.App.5th 811, 822.)

D.

Penal

Code § 496. Overruled.

Penal Code § 496 criminalizes the buying or receiving of stolen property knowing it was stolen or obtained "in any manner constituting theft or extortion." (Pen. Code, § 496.) "Theft" includes taking personal property "by any false or fraudulent representation or pretense." (Pen. Code, § 484(a).)

Defendant argues that this claim does not articulate a legally distinct statutory theory that is "separable from the alleged initial taking." (Dem 11:16-21.) Defendant contends it is uncertain whether Plaintiffs seek to hold Defendant for direct theft, as a later concealer or withholder, or both, and "what conduct supposedly satisfies each statutory element."

Defendant's do not articulate why both an initial obtaining by Aleksander Semerdgian ("Semerdgian"), and a subsequent transfer of that alleged stolen property by Defendant renders the pleading fatally defective.

The pleading alleges that Defendant Semerdgian received, possessed, and controlled portions of the stolen funds. (SAC ¶ 56.) Defendant transferred the stolen funds into bank accounts owned by Semerdgian. (SAC ¶ 56.) Defendant unlawfully took the money from Plaintiffs' accounts, then concealed, withhold and aided in concealing and withholding stolen from Plaintiffs know it to be stolen. (SAC ¶ 57.)

The claim is adequately alleged and is not uncertain.

E.
Negligent
misrepresentation and Intentional misrepresentation. Overruled.

A claim for fraud requires facts to support the following elements: (1) a misrepresentation, (2) made with knowledge of its falsity, (3) Defendant intended to defraud Plaintiff, i.e., induce Plaintiff's reliance, (4) Plaintiff justifiably relied on the misrepresentation, (5) causing damage. (Nagy v. Nagy (1989) 210 Cal.App.3d 1262, 1268.)

Fraud claims are subject to strict requirements of particularity in pleading. (Id.) The particularity requirements necessitate pleading facts showing "how, when, where, to whom, and by what means the representations were tendered." (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) The requirement "applies not only to the alleged misrepresentation, but also to the elements of causation and damage." (Moncada v. West Coast Quartz Corp. (2013) 221 Cal.App.4th 768, 776.)

Where fraud is alleged against a corporation, the pleading standards are even greater. Plaintiff must allege "the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Lazar v. Superior Court (1996) 12 Cal. 4th 631, 645.)

Defendant argues that at a minimum, Plaintiffs should identify, who made each statement, to whom it was made, when it was made, by what means it was made, what exactly was said, and what each plaintiff did in reliance on it.

Plaintiffs allege that in or around August and September 2023, Izrailbekova made positive assertions of material fact including that Plaintiffs' respective U.S. bank accounts had been frozen or otherwise restricted by the banks. (SAC ¶64.) The statements were made with intent to induce Plaintiff to rely on these statements, delay their inquiries, and prevent Plaintiffs from discovering her ongoing embezzlement. (SAC ¶ 64.) Defendant falsely told Plaintiffs that Defendant had been confronted by the FBI and was instructed to cease all communications. These representations were not true. (SAC ¶ 65.)

In reliance on Defendant's representations, Plaintiffs allege they refrained from immediately investigating their accounts, securing their funds, and terminating Izrailbekova's access. As a result of that delay, Izrailbekova allegedly continued to misappropriate funds from the accounts, causing Plaintiffs damages of \$9,024,157.38. (SAC, ¶ 67.)

Plaintiffs' opposition has merit. Although fraud ordinarily must be pleaded with specificity, that requirement is relaxed where "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy." (Bradley v. Hartford Acc. & Indem. Co. (1973) 30 Cal.App.3d 818, 825.) Likewise, "less particularity is required when the facts lie more in the knowledge of the opposite party." (Committee On Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217.)

Here, Plaintiffs allege Defendant made the misrepresentations during telephone calls and email communications that she initiated. At the pleading stage, the content and circumstances of those communications are alleged to be matters more readily within Defendant's knowledge than Plaintiffs'. Defendant argues in reply that this contention "inverts the burden." (Reply 6:1-2.) The argument is unpersuasive. California law recognizes that the heightened specificity requirement is relaxed where, as alleged here, the pertinent facts are peculiarly within the defendant's knowledge.

F. Conversion. Overruled.

Defendant argues Plaintiff should clearly identify the particular transactions or specific sums allegedly converted by transfer, or other concrete transactional detail. Defendant does not cite any authority requiring this detail in the pleading.

To prevail on a claim for conversion, Plaintiffs must establish their ownership interest at the time of the conversion and Defendants' wrongful act or dispossession of Plaintiffs' property rights. (Moore v. Regents of University of California (1990) 51 Cal.3d 120, 136.) The basic elements are (1) the plaintiff's ownership or right to possession of personal property; (2) the defendant's disposition of the property in a manner that is inconsistent with the plaintiff's property rights; and (3) resulting damages. (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.)

Plaintiffs have alleged facts to support each element.

G.
Breach
of fiduciary duty. Overruled.

Defendant challenges a portion of this cause of action, because it involves non fiduciary Defendants. Defendant argues that to the extent the pleading attempts to extend liability through broad abetting and conspiracy allegations directed to the nonfiduciary defendants, those allegations are general and conclusory.

However, only Izrailbekova is alleged to have owed a fiduciary duty to Plaintiffs, and she is the only demurring party. Additionally, demurrer does not lie to a part of a cause of action. (Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1047 ["a demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy."].)

H. Trade name misappropriation and Unfair

Competition. Overrule.

Defendant

argues Plaintiffs blend two theories in this cause of action. Plaintiffs are not entitled to damages under Business and Professions Code, section 17200. Defendants do not cite any authority that articulates the necessary elements of either a claim for misappropriation or for violation of Business and Professions Code, section 17200.

Plaintiffs

argue that this claim represents a common law trade name misappropriation claim and a violation of the Unfair Competition Law. Plaintiffs cite *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677 for the proposition that a plaintiff is not required to separate claims into separate causes of action. The court ignores "erroneous or confusing labels ... if the complaint pleads facts which would entitle the plaintiff to relief."]; *Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908, 274 Cal.Rptr. 186 ["[T]he trial court is obligated to look past the form of a pleading to its substance." (Id. 695.)

This

cause of action is not fatally uncertain. Here, Plaintiffs allege that Defendant knowingly and wrongfully misappropriated Alfa's trade name by filing documents with the California Secretary of State to register a new, separate business entity in California under the identical name, "Alfa Prosmarttech PTE. LTD." (SAC ¶ 93.) In these fraudulent filings, Defendant is alleged to have falsely designated herself as the Chief Executive Officer, Secretary, and Chief Financial Officer. (Id.)

Plaintiffs

allege that the unauthorized use of Alfa's trade name was intended to allow Defendant to trade on Alfa's goodwill and reputation, and was likely to cause confusion in the marketplace among customers, vendors, and financial institutions and to facilitate the opening of fraudulent bank accounts or the obtaining of credit in Alfa's name. (SAC ¶ 94.)

Plaintiffs

allege that this conduct constitutes an unlawful, unfair, and fraudulent, business act or practice. (SAC ¶ 95.) The UCL claim is clearly predicated on the common law trade name misappropriation claim.

IV.

CONCLUSION

Based on the foregoing, demurrer to the second amended complaint is SUSTAINED only as to Plaintiffs' capacity to maintain an action under Corp. Code, § 2203. Defendant has not cited any authority that Plaintiffs have to allege compliance with the Code in the pleadings. Rather, the statute provides that Plaintiffs cannot maintain the action until they have complied with the statutory requirements by paying the "Secretary of State a penalty of two hundred fifty dollars (\$250) in addition to the fees due for filing the statement and designation required by Section 2105 and has filed with the clerk of the court in which the action is pending receipts showing the payment of the fees and penalty and all franchise taxes and any other taxes on business or property in this state that should have been paid for the period during which it transacted intrastate business." (Corp. Code, § 2203.)

Accordingly, the Court sets an Order to Show Cause for September 18, 2026, for Plaintiffs to file the necessary receipts showing compliance with statute. Demurrer to all other causes of action is OVERRULED. Defendant shall file an answer 10 days after Plaintiffs file the receipts showing compliance.